

MemoryCare — Business Plan v4.0

Memory Care LLC · Yerevan, Armenia · "Honoring Memory, Caring for Loved Ones." Version 4.0 · August 7, 2026 · Confidential Incorporates all owner decisions through August 7, 2026 and the findings of an independent six-expert advisory review (Document 08). In any conflict with earlier versions, v4.0 governs.

0. Executive Summary

MemoryCare is a subscription service for the premium care of family memorial sites in Armenia, with every visit verified by photo, video, and GPS evidence (timestamped) in the client's personal account. The company is wholly owned by David Hambardzumyan (**CEO**), who funds the venture in tranches as required. **Hayk Manukyan is CBDO and head of operations.**

Year 1 is deliberately focused on the core service — care, cleaning, and verified reporting. A digital memorial (QR) product is deferred to Year 2. From platform launch (~45 days out), the **Family Circle** feature is live: clients invite relatives into sub-accounts where they can view reports and order one-off services. The referral reward is a **memorial-date flower service with a photo report** — low cost ($\approx$ AMD 3–5K), high emotional value.

Headline figures (model v6.0, base case): active clients at year end 192 → 423 → 803 → 1,326 → 1,990 · revenue AMD 34.6M → 76.1M → 144.6M → 238.7M → 358.2M · EBITDA **–AMD 1.7M in Year 1 (investment year)** → +USD 48.5K → +USD 103.8K → +USD 195.9K → +USD 306.4K · peak funding requirement $\approx$ AMD 5.0M ($\approx$ USD 13.8K with reserves) · VAT-regime transition modeled from Year 3 · Year-5 penetration of the serviceable market $\approx$ 13% — ambitious but well within category norms.

Year 1 runs at a planned loss of $\approx$ AMD 1.7M — the cost of a three-person field crew, a CAC-laddered marketing budget, and liability insurance from day one. The advisory council endorsed this as a sound investment curve, protected by a pre-agreed kill criterion (§8). The team's stretch goal at launch: 90+ paying clients by week 16 with a $\geq 40\%$ lead-to-payment conversion; capital planning is anchored to the conservative base of 30–50 clients and 25%.

1. Product and Brand

A four-product line (flat pricing — no plot-size surcharges, no local-versus-diaspora price difference). Client-facing package names (Armenian): «Չնում» / «Էքսպրես խնամք» / «Օպտիմալ խնամք» / «Մաքսիմում խնամք». Client-facing copy uses the term "family sacred place" (ընտանեկան սրբատեղի) rather than "grave."

Product	Composition	Price, AMD	≈USD	Subscription mix	Margin *
Znnum (Inspection) — NEW	1 visit + photo/video condition report + recommended-works list	20,000	55	outside the mix	~70%
Express	1 deep-care visit	60,000	164	15%	~50%
Optimal — flagship	2 deep + 4 light visits	180,000	493	55%	~54%
Maximum	3 deep + 6 light visits (9/year)	240,000	658	30%	~50%

*Margins are conservative (early-month productivity, fully loaded three-person crew, gross salaries). Blended subscription price: AMD 180,000. The Maximum tier was re-engineered from 4+8 visits (36% margin) to 3+6 — the "monthly" promise was removed from its description.

Znnum plays a dual role. (1) A psychological bridge: it removes the entry barrier for clients not yet ready to prepay a full year — they experience the quality of our verified reporting for AMD 20,000, and the report's recommended-works list (with prices) is a natural upsell engine; the fee is fully credited toward any package purchased within 30 days. (2) Operational reconnaissance: the inspection locates the plot and records its GPS coordinates

in the client's file, so working crews never lose billable time searching for a site — protecting planned productivity of 2.5–3.5 sites/day. Performed by the light crew (unit cost ≈ AMD 4,100). Znum revenue is deliberately excluded from the financial model — it sits outside the subscription mix as a standalone product; every dram it earns is upside.

Express is sold as a trial: the full fee is credited toward a subscription within 60 days; if the client does not convert, a repeat Express within the same year is priced at AMD 40,000.

Brand: MemoryCare (one word) · slogan "**Honoring Memory, Caring for Loved Ones.**" · emblem: the Armenian forget-me-not set against the Armenian eternity symbol, held between two open hands (the designer has creative freedom, including alternative concepts with a business case — only the MemoryCare name is fixed) · palette: olive / anthracite / warm white (preferred, not mandated). Full brand design is contracted at AMD 1.0M (one-time, ~1 month).

Platform (contracted at AMD 1.2M one-time, ~45 days): all four products with credit mechanics, international card payments (Ameriabank acquiring), client dashboard, photo/video/GPS reports, **three languages (ARM/ENG/RUS)**, mobile-first, Family Circle (sub-accounts + memorial-date flower reward), and the legal pack (US/EU-ready terms of service, privacy policy, sub-account consents). **The primary site CTA is a free-consultation request**; online checkout is the secondary path — appropriate for a considered annual purchase.

2. Market

Serviceable addressable market (advisory council consensus, adopted): 12,000–18,000 families (base), 6–8K low, 25–35K high. Methodology is bottom-up: post-Soviet emigration from Armenia (~300–600K households) → share with graves in Yerevan → filters for need, willingness to pay, and channel reachability (4–10K families) plus Yerevan's affluent local segment (2–5K). Cross-check by flow: ~8–9K new burials per year in Yerevan. The Year-5 plan of 1,990 clients equals ~13% penetration of the base — ambitious, within category norms.

Demand validation to date: a six-language survey (17 responses, 59% diaspora) shows modal willingness to pay of USD 50–100 per visit — Optimal (USD

82/visit) and Maximum (USD 73/visit) sit inside the band; none of the respondents who had tried any existing informal solution were fully satisfied. Next step: a September paid pilot including diaspora clients at full price.

Competition: no organized, branded competitor exists in Armenia — only informal freelancers with no reporting, no regularity, and no legal entity. Globally the model is proven (Tending in the US; Germany's century-old Grabpflege industry; Styks in Poland; GraveCareUkraine) — see Document 02. Our full stack — subscription + photo + video + GPS + client dashboard + Family Circle — is not assembled in its entirety by any player we studied.

3. Operating Model

Deep-care crew — three people: driver-technician (AMD 400K net) + two technicians (AMD 300K net each) = AMD 1.0M net $\approx$ **AMD 1.35M gross** ($\times 1.35$ payroll loading, to be confirmed by the accountant) + consumables buffer AMD 102.2K + vehicle AMD 112.5K/month. The third crew member owns visit documentation — the report is the product. **Light crew** — one person, AMD 450K net $\approx$ 607.5K gross + AMD 30.7K buffer.

Productivity: deep crew 2.5→3.5 sites/day; light crew 6→8; 26 working days/month. **All hiring is utilization-triggered ($\geq 85\%$), not calendar-based.** By Year 5 the model calls for 6 deep + 5 light crews, with the management layer (dispatcher, field supervisor) hired ahead of demand from Year 3.

September pilot: Hayk + two technicians (formally employed before first field day), 5–10 paid visits at full price, at least one diaspora client, all executed to the Field Visit Protocol (Document 15) with full photo/video/GPS reporting. Liability insurance and an AMD 500K incident reserve are in place **before** the pilot.

4. Financials (model v6.0)

Monthly overhead $\approx$ AMD 500K: legal retainer 200K · admin/CRM 54.75K · accountant 55K · software 43.8K · insurance $\sim$ 25K. Marketing follows a CAC ladder: AMD 146K/month (months 1–4) → USD 1,500/month (months 5–12) → USD 4,000/month (Year 2) → 10% of revenue (Years 3–5); each step unlocks only while blended CAC $\leq$ AMD 25,000. One-time

launch costs (all one-off payments): design AMD 1.0M (month 1) · platform AMD 1.2M (months 1-2) · content production/SMM/integrations AMD 500K (spread over months 1-3). A 3% revenue reserve covers refunds.

Tax: Years 1-2 on the 10% turnover regime (△ pending legal memorandum); **from Year 3 revenue crosses the AMD 115M VAT threshold → 20% VAT + 18% profit tax — built into the model**, with the pricing decision for the transition scheduled a year ahead.

Funding: peak cash requirement ≈ AMD 3.5M; with a 28% contingency and the AMD 500K incident reserve, ≈ **AMD 5.0M (~USD 13.8K)**. The owner funds in tranches as needed. **Kill criterion (agreed):** fewer than 40 paying clients by month 4 after commercial launch triggers a stop-and-rebuild of the model — not additional funding.

5. Trust

The trust layer precedes any paid traffic: real contact details on a company domain, corporate registration data on the site, before/after case studies from the pilot, a video testimonial from a diaspora client, the publicly displayed basis for operating at the cemetery, and price anchoring. The council's "pay after your first report" proposal is logged as an open option to be decided on pilot data.

6. Roadmap

Gates (now): framework agreement with the cemetery operator (first contact within one week; a written position at minimum) · tax memorandum from counsel · contractor agreements signed (IP in code and design transfers with milestone payments) · Ameriabank acquiring with live foreign-card test · accountant onboarded · real phone and domain email on the site. **Build (in parallel):** design ~4 weeks · platform ~6-7 weeks · pilot-crew hiring · visit protocol · platform legal pack. **Pilot (September):** 5-10 paid visits, trust assets, field validation of unit costs and Maximum-tier margin. **Soft launch → paid marketing:** per the GTM plan (Document 03), 16 weeks, CAC-gated.

7. Key Risks

1. Cemetery access (existential) — mitigated by pursuing a framework agreement, deadline-managed.
2. Year-1 planned loss — funded, capped by the kill criterion.
3. Cold-start diaspora trust — trust layer; "pay after first report" held in reserve.
4. VAT transition in Year 3 — pricing decision scheduled a year ahead.
5. IP in contractor deliverables — transfer tied to milestone payments.
6. Key-person dependency and no field redundancy at start — bench of vetted candidates, documented procedures.
7. Reputational asymmetry in a tight-knit community — insurance, incident reserve, <24h response protocol, strict filming rules.
8. In US advertising, "memory care" collides with dementia-care terminology — category descriptors and negative keywords are specified in the GTM plan.

8. Governance

Owner: David Hambardzumyan, CEO (100%; tranche funding). Hayk Manukyan, CBDO — operations. A weekly Monday review covers sales, CAC by channel, crew utilization, and report quality, with scale/fix/kill decisions per channel. Role task lists (Documents 09-14) are priority-sorted. Kill criterion: <40 paying clients by month 4 post-launch → stop and rebuild (the 90-client stretch goal does not affect this control — capital decisions run on the conservative base plan).